the effect of these proposals on other silver-using countries especially China.

The standard which the Commission favoured was what came to be known as a gold bullion standard, the essence of which was that the ordinary medium of circulation in India would remain the currency note and the silver rupee, and the stability of the currency in terms of gold would be secured by making the currency directly convertible into gold for all purposes. However, gold would not circulate as money. 'It *must* not circulate at first, and it *need* not circulate ever.'[14] An obligation would be imposed by statute on the currency authority to buy and sell gold without limit at rates determined with reference to a fixed gold parity of the rupee but in quantities of not less than 400 fine ounces, no limitation being imposed as to the purpose for which the gold was required.[15] Since gold bars were to be given in exchange for notes or silver rupees and not for export only but for any purpose, this was not an exchange standard but an absolute gold standard.[16] In order, however, to protect the wholesale bullion market, it was essential that the currency authority should not become the cheapest market for gold in India or provide gold for nonmonetary purposes and the Commission proposed that the conditions governing the sale of gold should be so framed as to achieve these purposes. This could be done by fixing the selling prices of gold at rates which would enable the bank to replenish its stock of gold without loss by importation from London.

Proposals for a Central Bank

The second important recommendation of the Commission was in regard to the establishment of a Reserve Bank of India. It was observed that India was perhaps the only country among the great trading countries of the world in which the government exercised direct control over currency in general and over the note issue in particular. The Commission stated that the evidence had clearly brought out the 'inherent weakness of a system in which the control of currency and of credit is in the hands of two distinct authorities whose policies may be widely divergent, and in which the currency and banking reserves are controlled and managed separately one from the other.'[17]